

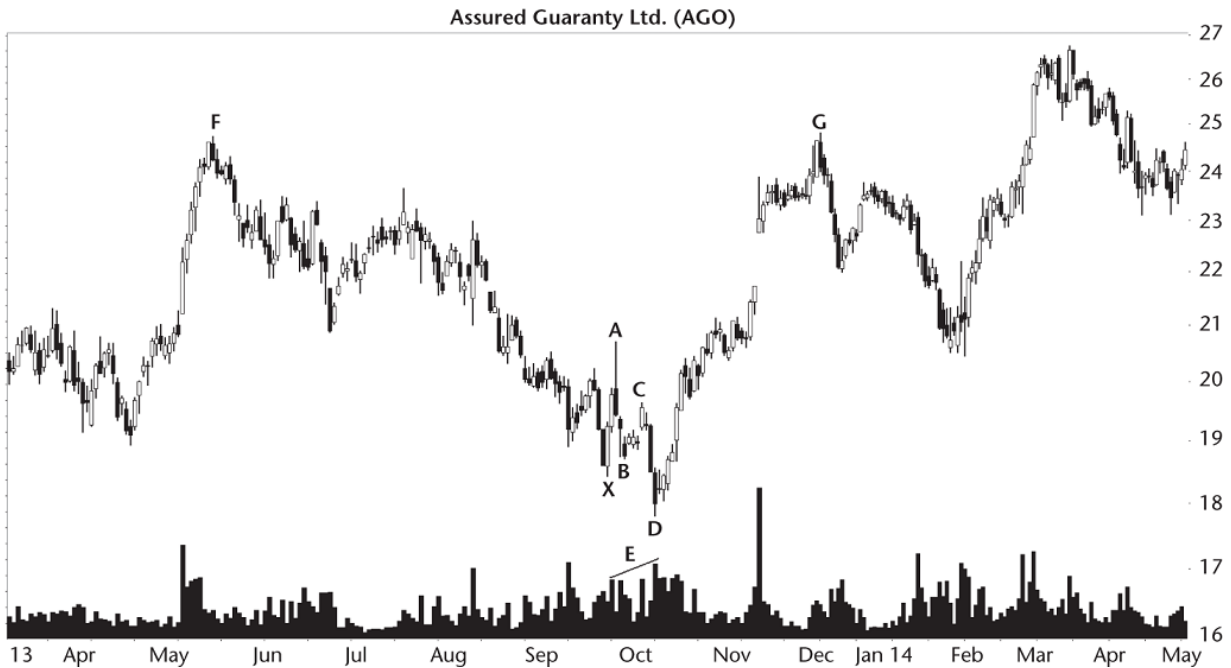


Figure 17.1 This bullish butterfly leads to a fast recovery.

Identification Guidelines

Table 17.1 shows identification guidelines for the bullish butterfly. Refer to **Figure 17.2** as I walk you through how my software identifies the patterns. This butterfly (shown as turns XABCD) breaks out downward at F when price closes below the bottom of the pattern. However, a swing trader wouldn't worry about that. They would be timing the entry at D and riding the stock upward, trying to capture as much of the rise to G as possible.